

Hertz Global Holdings, Inc.: review for reading time

FY2013 against FY2012, with Q4 2013 against Q4 2012.

Documents: FY2012 and FY2013 annual reports, both Q4 results releases, the statements spreadsheet, the statement scan and flag explanations, and the two text-track assessments. Sizes are shares of FY2013 pre-tax income of \$663.1M.

Items to investigate

1. Rental car depreciation: rates cut while cars sold at a loss

- **Shown:** Note 8 says the U.S. rate cuts were "indicative of the residual values experienced" in 2013, yet the same note shows a \$48.2M loss on U.S. disposals after a \$100.6M gain (FY2013 p. 126). The top of the car holding range moved from 28 to 36 months (FY2012 p. 81; FY2013 p. 91), "strong" was dropped, and the company-wide rate fell from 15.2% to 14.3%. Size: 6.7% (the company's stated U.S. cut of \$44.2M, the income effect) or 6.0% net company-wide; the scan's charge not taken at the FY2012 rate is \$152M, 23%, mostly offset by the disposal swing. Evidence level 1.
- **Reading:** Both tracks read this as the reporting stretched on top of a weakening used-car market; the text track says "most likely", the numbers track "possibly". It would turn ordinary if the cut applied to Dollar Thrifty cars held longer and the losses came from one-off sales timing.
- **Next:** The 2013 10-Qs for a quarterly split of rate changes and disposal results, and Q1 2014 U.S. depreciation per vehicle.

2. Adjusted pre-tax income: recurring costs called one-time

- **Shown:** The measure excludes "certain one-time charges" (FY2013 p. 50), but restructuring was charged in every year shown and totals \$645.4M over 2007–2013 (p. 140). Integration, relocation and impairment are new exclusions (13.8%), and a litigation accrual is excluded in both years. Size: 14.9% (restructuring and related, \$98.8M); all exclusions 73.9%. Evidence level 1.
- **Reading:** Most likely the measure is stretched rather than the business weakening. It would shift toward ordinary if the 2013 charge proved mostly the headquarters move and integration, and the charges then stopped.
- **Next:** Adjusted pre-tax income with restructuring left in (\$1,054.4M against \$1,153.2M), tracked across years.

3. Fourth-quarter margin: 22.1% to 18.5%

- **Shown:** Q4 gross margin fell while the full-year margin held; U.S. fleet rose 22.4% against transaction days up 16.1% (FY2013 release p. 3). The company's "\$0.12 impact" of pricing and extra fleet (p. 2) is measured against expectations, so it can't be tested as stated. Size: 14% (\$90M). Evidence level 2.
- **Reading:** Most likely the business weakening. Fleet back in line with demand and a recovered margin in early 2014 would make it a one-quarter event.
- **Next:** Q1 2014 results: U.S. fleet against transaction days, and depreciation as a share of U.S. revenue.

4. Controls: called effective beside errors in several years

- **Shown:** Out-of-period errors of \$46.3M were corrected by revising prior years, though they "would have been material to the fourth quarter" (FY2013 p. 83), while controls were "effective" (p. 159). A debt requirement was "unknowingly not being met" (p. 150), and the release gives the total as \$47.9M. The revision lifts pre-tax growth from 47.2% to 50.2%. Size: 5.2% (\$34.7M moved to prior years); 7.0% in total. Evidence level 2.
- **Reading:** Possibly the control conclusion is generous. One isolated process, already fixed, would point to ordinary.
- **Next:** 2014 quarterly filings for further revisions or a changed control conclusion.

5. Payables: down 3.5% while costs rose 19.4%

- **Shown:** Days payable fell from 52.9 to 42.7 (revised basis). The company says nothing about the balance; its nearest sentence, "timing of our payments" (FY2013 p. 64), covers 4.5% of the cash flow rise it describes, and Dollar Thrifty covers 18% of the gap. Accounts payable modules were replaced in the same year (p. 159). Size: a balance gap of \$233M, 35% of pre-tax income, not an income effect; it is larger than items 3 and 4 but ranks below them as a balance. Evidence level 2.
- **Reading:** Can't tell from these documents; suppliers were most likely paid faster. A split showing the fall sits in fleet payables would point to ordinary purchase timing.
- **Next:** Ask for trade against fleet payables; read the supplemental cash flow lines (p. 81).

Also noted

- Nevada fee case: a judgment "could potentially exceed \$40.0 million", with no material reserve (pp. 137–138); exposure 6.0%, leans aggressive, level 3. A securities class action is new.
- Receivables allowance: write-offs rose 37.5% against 5.1% for the allowance, and the provision differs by \$4.0M between the cash flow statement and Schedule II.
- Not explained, not quantified: goodwill headroom and self-insurance movements are not disclosed; the pricing measure changed; 2012 cars sold were restated 7.1% higher; "fewer program cars" no longer fits.

Checked and explained: Receivables fell 19.5% while revenue rose, most likely ordinary: 71% is vehicle-sale timing and 2012 was inflated by the acquisition, though \$105.8M is unexplained. Payables at 9.0% of sales against 4.5% reflects a poorly matched industry group. The 2012 rate cut sat beside disposal gains that support it.

Not examined: The documents give no quarterly or brand split of the rate cuts, no payables or receivables breakdown, no critical audit matters and no proxy statement.

Items to investigate, not conclusions. The verdicts are the analyst's.